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Corporate Structure & Compliance Strategy

A lean-now, licensed-later blueprint: a Wyoming LLC today, converting to a Delaware C-corp when you raise or license.

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Strategic guidance only — not legal, financial, tax, or investment advice. Securities, money-transmission, and corporate-formation decisions must be reviewed by licensed counsel and a CPA before you act. Sections flagged “ see counsel” are where this matters most.

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Corporate Structure & Compliance Strategy

A lean-now, licensed-later blueprint for incorporating BankAI as a US tokenization-first fintech — the least-compliance entry that still scales cleanly into a fully licensed money business.

How to read this. Every section is tagged **DO NOW**, **DEFER** → **Phase B/C**, or **see counsel**. Dollar and time figures are planning estimates (2025–2026 US), not quotes. This is strategy, not legal advice — the regulated decisions must be run past a fintech attorney and a CPA before you file or launch.

1. Executive summary & the core legal thesis

The thesis: the cheapest legal way into fintech is to *not be a money business yet*. BankAI's locked architecture already supports this — keys live in the user's Secure Enclave, the server never holds a private key, and tokenization is delivered as **software**. If you never take custody of customer funds and never act as the intermediary that moves value, you stay outside the two most expensive US regimes (money-transmitter licensing and broker-dealer registration) for as long as possible.

So the strategy is a **three-phase compliance ramp**, with the corporate structure built on day one to absorb each phase without re-papering the company:

Phase	What you are	Licensing burden	Trigger to advance
A — Launch	Software + non-custodial wallet + tokenization infrastructure	Minimal: entity, AML <i>policy</i> , terms, IP. No MTL .	Live product, first users
B — Partnered	Same, plus regulated partners (BaaS bank, custodian, transfer agent, KYC vendor) move the money/assets for you	FinCEN MSB registration likely; partner due-diligence	You need fiat in/out or pooled custody
C — Licensed	You hold your own licenses / charter	State MTLs (or bank partnership), transfer-agent registration, possibly broker-dealer/ATS	Scale, unit economics justify owning the rails

The single most important rule: the moment you touch customer fiat or hold their crypto for them, you are probably a money transmitter in most states. Phase A is engineered to never do that.

Recommendation at a glance:

- **Form a Wyoming LLC now** ([BankAI LLC](#)) — the lowest-cost, lowest-admin, most private US entity, with pass-through taxation and crypto-friendly statutes. **Convert to a Delaware C-corp later**, when you raise institutional capital or stand up the regulated subsidiary (Phase B/C).
- **Adopt a real operating agreement** even as a single member — it's the document partner banks, vendors, and a future conversion all lean on.
- **Assign the IP** (the code already in this repo) from you personally to the company immediately — the single cheapest-now / expensive-later action in this plan.
- **Do not market the product as a "bank" or "banking."** That word is regulated; using it can draw a cease-and-desist before you have a single user. (Yes, this affects the product name — see §9.)

2. Entity structure — start as a lean Wyoming LLC, convert into a holdco

2.1 What to form now (DO NOW)

A single-member Wyoming LLC, [BankAI LLC](#), with you as sole member and manager. It is the cheapest, fastest, most private US entity, and for a solo bootstrapper it's the right Phase-A home. A single-member LLC is "**disregarded**" for federal tax — its income flows straight to your personal return, so there's no separate corporate tax to file and no double taxation.

Why the Wyoming LLC for a lean start:

- **Minimal cost & admin.** ~\$100–150 to form, ~\$60/yr to maintain, no state income tax.
- **Pass-through taxation.** No double tax; early-stage losses can (subject to rules) offset other income. Simple Schedule-C-style reporting while you're a single member.
- **Privacy.** Wyoming doesn't publicly list LLC members.
- **Crypto-forward law.** Wyoming pioneered digital-asset statutes, the DAO LLC, and the SPDI charter.
- **Liability shield** for your personal assets — as long as you respect the formalities (separate bank account, operating agreement, no commingling).

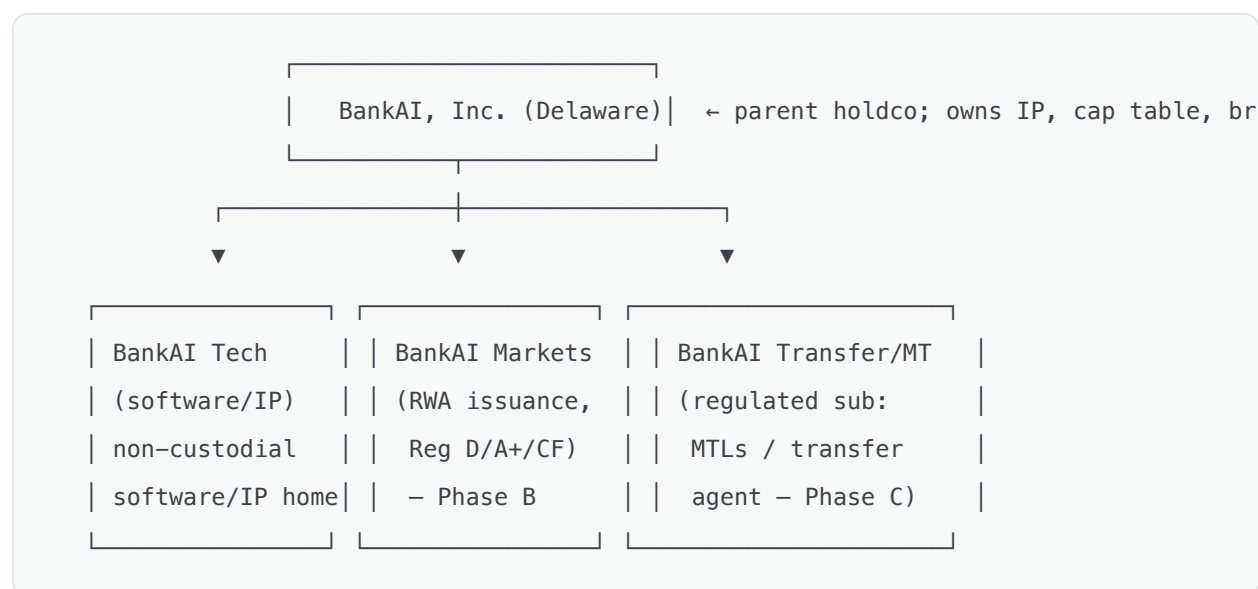
The honest tradeoffs vs. a C-corp — and why they don't bite yet:

- **No QSBS.** The §1202 gain exclusion needs a C-corp. You forgo it *until you convert* — acceptable while pre-revenue and pre-raise.
- **Equity comp is clunkier.** Adding a co-founder or option holder turns a single-member LLC into a partnership, or requires **profits interests** instead of clean stock options. Manageable, but a reason to convert before you build a team or raise.
- **Investors require conversion.** Institutional money wants a Delaware C-corp; **LLC → C-corp conversion** later is a real, lawyer-assisted step (often structured tax-neutrally) costing ~\$3–8k.

So: the WY LLC is the right lean Phase-A vehicle. Treat the **conversion to a Delaware C-corp** as a planned future event tied to your first institutional raise or your first regulated subsidiary — not something to pay for now.

2.2 Where this is going (DEFER → Phase B/C): convert, then split into a holdco

When you raise capital or introduce regulated activity, **convert the LLC to a Delaware C-corp** (statutory conversion, or an F-reorg/Up-C as counsel advises) and adopt a holdco + opco structure so a license never contaminates your software IP:



(Until you convert, "BankAI LLC" simply **is** the software/IP entity — the boxes below collapse into the single LLC. The split appears only at conversion.)

The reason: licenses, bonds, regulatory exams, and money-movement liability sit in the regulated subsidiary. If that entity ever has a problem, your core technology and IP — the valuable asset — are insulated in a separate box owned by the parent. You **don't pay for this**

complexity until the revenue or the regulator forces it. ☞ see counsel when you spin up the first subsidiary.

2.3 The alternative (if you'd rather optimize for fundability now)

If raising institutional money or pursuing licensing *soon* is likely, you can **skip straight to a Delaware C-corp** and avoid a later conversion — at the cost of higher run-rate, double taxation, and more admin than a bootstrapper needs in Phase A. For BankAI's lean, pre-revenue start, the **Wyoming LLC is the recommended default**, converting when the money or the regulator makes the C-corp worth it.

	Wyoming LLC <i>(recommended now)</i>	Delaware C-corp	Offshore token entity
Setup cost	~\$100–500	~\$500–1,500 (DIY–lawyer)	\$\$\$ + ongoing
Annual cost	~\$60–150	~\$400–900	high
Taxation	Pass-through (simplest)	Double (corp + dividends)	Complex (CFC/PFIC)
Stock/options	Units / profits interests	Native, clean	n/a
QSBS	✗ (gained on conversion)	✓	✗
Fundraising-ready	Convert first	✓ best	Complicates US raise
Regulator/bank credibility	Good	✓ high	Scrutiny / de-risking
Best for	Your lean Phase-A start	Imminent raise/licensing	Not recommended US-first

3. Where to incorporate

Wyoming for the LLC now. Delaware when you convert. Wyoming again on the radar for a future charter.

- **Wyoming (now)** — the LLC home: no state income tax, member privacy, low fees, and the most crypto-forward statutes in the US (digital-asset law, the **DAO LLC**, and the **Special Purpose Depository Institution (SPDI)** charter — a long-term option for a crypto-native, custody-capable "bank-like" entity without FDIC deposit-taking). You'll

foreign-qualify in your home state (where you actually work) and pay that state's fees too — budget for both. If you live in a high-tax/high-fee state (e.g., CA), confirm whether you must *also* register the LLC there. ⚖

- **Delaware (on conversion)** — when you raise or issue equity, convert to a **Delaware C-corp**: predictable corporate law (Court of Chancery), a playbook every investor/bank/lawyer knows, and clean stock mechanics. This is the planned Phase-B/C move, not a day-one cost.
- **Offshore (Cayman/BVI/CH/UAE)** — common for token *issuance* in pure-crypto projects, but for a **US-first, US-user** product it adds tax complexity (CFC/PFIC rules), banking friction, and regulator suspicion. **Not recommended** for your launch. Revisit only if a token-generation event for a protocol token (not the product) is ever on the table. ⚖ see counsel.

Decision: form **BankAI LLC** in Wyoming now; foreign-qualify where you live; plan the **Delaware C-corp conversion** for your first raise/regulated subsidiary; keep the **Wyoming SPDI** as the deep Phase-C charter option.

4. Sole-founder ownership & equity structure (LLC units)

In a single-member LLC your "equity" is **membership units** (or simply a 100% membership interest) governed by the **operating agreement** — there is no stock, no authorized-share count, and no Delaware franchise tax to engineer. That simplicity is the point of the lean start.

Recommended starting structure (DO NOW):

Item	Recommendation	Why
Ownership	100% to you , the sole member	Single-member = disregarded entity, simplest tax
Units (optional)	Denominate as 10,000,000 units , all to you	Makes future grants/conversion clean if you ever add members
Capital contribution	Contribute a small amount (e.g., \$500–1,000) + the assigned IP	Establishes your basis and the LLC's capital
Tax election	Default disregarded; revisit S-corp election only if profits get large	Don't over-optimize taxes pre-revenue

Operating agreement — your most important governance document. DO NOW. Even with one member, adopt a real operating agreement: it defines ownership, management (you as manager), capital, and — critically — how new members or **profits interests** get admitted later. Banks and a future conversion both rely on it, and it reinforces the liability shield (an LLC without one is easier to "pierce").

Incentive equity for future hires/advisors — profits interests. When you bring people on, an LLC grants **profits interests** (a share of *future* upside, not existing value) rather than stock options. They're tax-efficient if papered correctly — and the moment they get complex is exactly the moment to do the **Delaware C-corp conversion** (§2.2) and switch to a normal option pool.

The 83(b) nuance for an LLC. *vs note.* As a sole member owning your interest outright with no vesting, the classic founder-stock 83(b) urgency mostly doesn't apply. But if you ever (a) subject your own interest to vesting, or (b) grant **profits interests**, the recipient should file a protective **83(b) election within 30 days** of that grant. Keep the 30-day rule on your radar for those events — it's still unfixable if missed.

SAFE-ready / raise posture. You can technically raise into an LLC, but most investors want a Delaware C-corp and a SAFE. So the plan is: stay lean as the LLC; **convert to a DE C-corp the moment a real raise is on the table**, then raise on a standard **SAFE** (the YC standard). Don't contort the LLC to look like a startup it isn't yet.

Tooling: a cap-table tool is overkill for a single-member LLC — a clean operating agreement and a folder of signed docs is enough now. Adopt **Carta/Pulley** at conversion, when options and investors arrive.

5 Governance, founding documents & the IP assignment

Even a single-member LLC needs the real paper — skipping it weakens the liability shield and creates problems exactly when you can least afford them (a raise, a partner-bank diligence, an acquisition).

The document set (DO NOW):

- **Articles of Organization** (filed with Wyoming) — the LLC's name and registered agent.
- **Operating Agreement** — ownership, you as **manager**, capital, and the rules for admitting future members / profits interests (§4). The cornerstone document; don't skip it because you're solo.

- **EIN** from the IRS (free; needed for the bank account — a single-member LLC still gets its own EIN).
- **Member resolution / consent** (optional but tidy) — authorize the bank account and the IP assignment.
- **IP / Invention Assignment** — *you* sign one assigning your work to the LLC (see below).

The IP assignment — do this immediately. ⚡ DO NOW. Right now, *you personally* wrote the code sitting in this repository — which means **you**, not the company, may own it. Before any value accrues, execute a **Technology/IP Assignment Agreement** transferring all of it (code, designs, the BankAI marks, domains, the architecture docs) to **BankAI LLC**. This is the #1 thing acquirers and investors diligence, it survives the future C-corp conversion intact, and it's trivially cheap to fix today and expensive to fix later. Make sure any contractor or contributor (now or ever) signs an assignment too — work-for-hire alone is not enough for IP.

6. The phased compliance roadmap (*the heart of this document*)

Phase A — Launch as non-custodial software (DO NOW)

Goal: deliver real product value while staying outside money-transmitter and broker-dealer scope.

What keeps you out of scope:

- **Non-custodial by architecture.** Keys are generated and held in the user's Secure Enclave; the server never holds a user's private key (a *locked* architecture decision in this repo). You are not holding customer funds, so you are generally not a money transmitter under FinCEN's framework for non-custodial wallet software.
- **Tokenization framed as software.** You build the rails; you are not the issuer of record taking in investor money. The repo's demo securities are explicitly labeled "not a real offering" — keep that posture until an entity is set up to issue properly (Phase B).
- **Partner out everything that touches money.** No fiat on/off-ramp run by you. If users need to buy crypto, route them to a licensed third party (e.g., an embedded on-ramp like MoonPay/Stripe Crypto/Coinbase) under *their* license, not yours.

What you CAN do in Phase A: non-custodial wallet, DID/VC identity, tokenized-asset viewing and *peer-to-peer* transfers the user signs themselves, the AI agent/MCP experience

operating under user-granted, user-signed authorizations (already built), and a marketplace UI that *links to* but does not *operate* the trade as principal.

What you CANNOT do in Phase A: hold customer USD or crypto, run an exchange/order book as intermediary, issue and sell securities to the public, or move money between users as the middleman.

The securities reality of tokenized RWAs. *see counsel — this is the sharpest edge.* A tokenized building, fund, or business interest is almost certainly a **security**. Selling it in the US requires either registration or an exemption:

Exemption	Who can invest	Raise cap	Marketing	Fit for BankAI
Reg D 506(c)	Accredited only (verified)	Unlimited	Public solicitation OK	Best early path; pair with accreditation checks
Reg A+ (Tier 2)	Anyone	\$75M/yr	Public	Costly "mini-IPO"; later phase
Reg CF	Anyone	\$5M/yr	Via funding portal	Needs a registered portal partner

Your repo already models the compliance gating (tier/jurisdiction/holder-cap, the Compliance Module), which maps cleanly onto Reg D accreditation + holder caps — but the *legal* offering wrapper must be built with a securities attorney before you sell anything real.

Phase A compliance you DO still need (cheap, do it now):

- A written **AML/KYC policy** and a named compliance officer (you), even pre-license — it's table stakes for partner diligence and good hygiene. The repo's identity ladder + VC issuance + append-only audit log are most of the technical substrate.
- **OFAC/sanctions screening** at onboarding (screen every user against SDN lists).
- **Terms of Service, Privacy Policy, E-Sign consent, risk disclosures.**

Phase B — Partnered (DEFER → when you need fiat or pooled custody)

When users need to move real dollars or you need to custody pooled assets, plug in regulated partners rather than becoming regulated yourself:

- **BaaS / partner bank** (e.g., Column, Lead Bank, Unit/Treasury Prime as middleware) — for FBO accounts, ACH, debit, fiat rails. *They* hold the banking license; you ride it.
- **Qualified custodian** for crypto/RWA custody (e.g., Anchorage, BitGo, Fireblocks-backed).

- **Transfer agent** for tokenized securities cap-table-of-record.
- **KYC/AML vendor** (Persona, Alloy, Footprint) to industrialize identity + sanctions + ongoing monitoring.

Trigger: the first time money or pooled custody flows through *you*, you very likely must **register as a FinCEN Money Services Business (MSB)** (a federal registration, ~free, biennial) and your written AML program becomes mandatory, not optional. ⚡ see counsel on the exact trigger.

Phase C — Licensed (DEFER → when scale justifies owning the rails)

The expensive, defensible end state, pursued only when unit economics justify it:

- **State Money Transmitter Licenses (MTLs)** — the big one. ~\$50–150k+ to get a meaningful US footprint, surety bonds per state, minimum net worth, multi-year timeline. Most fintechs **partner instead** (Phase B) for years; only bring MTLs in-house when margin demands it.
- **Broker-dealer / ATS** — if you want to operate secondary trading of tokenized securities as principal/venue, you need a registered broker-dealer and likely an **ATS** (Alternative Trading System). Realistically a partnership (e.g., with a licensed BD/ATS) long before you own one.
- **Transfer-agent registration** — SEC Form TA-1 if you become the official record-keeper for securities holders.
- **Wyoming SPDI charter** — the long-horizon "crypto bank" option for custody at scale.

7 Corporate bank account & money movement

DO NOW: open a corporate account at a **fintech-friendly bank** once you have the EIN + formation docs:

- **Mercury** — the startup default; good API, treasury, crypto-tolerant. Strong first choice.
- **Brex** — cards + spend management; good if you want corporate cards early.
- **Column / regional banks** — relevant later as actual banking *partners* (Phase B), distinct from your operating account.

What they'll ask for: EIN, Articles of Organization + operating agreement, your ID, beneficial-ownership info, and a description of the business. **Be precise and honest** that you're building crypto/tokenization software — vague or evasive answers get accounts frozen

("de-risked"). A clean "non-custodial software, no customer funds in Phase A" story is bankable; "we move customer crypto" without licenses is not.

The commingling rule (non-negotiable): the moment any customer-adjacent funds exist, they live in **separate FBO/escrow accounts**, never your operating account. Commingling customer money with corporate money is how fintechs get shut down and founders get personal liability. In Phase A you avoid this entirely by not holding customer funds.

8. KYC/AML & BSA program (even before you're licensed)

Build the program early — it's cheap as policy, expensive as a retrofit, and every partner bank will demand to see it.

Element	What it is	Repo substrate that maps to it
Written AML/BSA policy	Your documented program	— (author it; ~\$2–5k with counsel or a template)
Designated compliance officer	A named human (you, initially)	—
CIP / KYC	Verify identity at onboarding	Tiered identity ladder, DID/VC issuance, risk-adaptive onboarding
Sanctions/OFAC screening	Screen against SDN/blocklists	Onboarding signal scoring hook
Transaction monitoring	Flag suspicious patterns	The ledger + orchestration engine (basis for the fraud system in the tech plan)
SAR/CTR readiness	File Suspicious Activity / Currency Transaction Reports when required	Append-only <code>audit_logs</code> / <code>mcp_audit_logs</code> give the immutable trail
Recordkeeping	Retain records 5 yrs	Append-only ledger + audit logs

The point: your existing technical primitives (append-only audit, identity ladder, VC, signal scoring) are already ~70% of a credible AML program's *evidence layer*. What's missing is the **written policy + named officer + screening vendor**, which is mostly paperwork and a tool.

9. What you're missing — the founder checklist

#	Item	Priority	Notes
1	EIN	DO NOW	Free from IRS; gates the bank account
2	Registered agent in Wyoming	DO NOW	~\$50–125/yr (Wyoming Agents, Northwest, etc.)
3	Foreign qualification in your home state	DO NOW	Where you actually operate; confirm if a high-fee state requires LLC registration too
4	⚠ "Bank" naming risk	DO NOW	"Bank"/"banking" are regulated terms ; using them without a charter invites cease-and-desist. Consider a market-facing brand that avoids implying you <i>are</i> a bank ("BankAI" the company is fine; marketing copy saying "your bank" is not). ⚖ see counsel
5	Trademark the brand	Soon	USPTO search + file; the name/marks should be company-owned (via §5 IP assignment)
6	Terms of Service / Privacy Policy / E-Sign / risk disclosures	DO NOW	Before any user signs up
7	Data protection: GLBA + state privacy (CCPA/CPRA etc.)	DO NOW	Fintech data is sensitive; GLBA safeguards apply once you're financial
8	Cyber + tech E&O insurance	Phase B	Partners will require it; also basic prudence
9	Cap-table tool (Carta/Pulley)	At conversion	Overkill for a single-member LLC; adopt when options/investors arrive
10	Accounting + R&D tax credits	Soon	A startup CPA; the federal R&D credit can offset payroll tax — real money for a dev-heavy build
11	Beneficial Ownership (BOI) reporting	Check status	FinCEN BOI rules have shifted; confirm current applicability ⚖

#	Item	Priority	Notes
12	Business insurance / D&O	Phase B	Especially before taking on any investor
13	"Not advice" disclaimers in-product	DO NOW	Especially around tokenized-asset/investment surfaces

10 10. 90-day action checklist (ordered)

Days 1–14 — exist as a company

1. Pick the exact legal name; clear it (Wyoming name check + USPTO knockout search).
2. File the **Wyoming LLC** (Articles of Organization); appoint a registered agent.
3. Get the EIN.
4. Adopt the **operating agreement** (you as manager); make your **capital contribution**.
5. Execute the **IP/Technology Assignment** (repo → **BankAI LLC**) and sign your invention assignment.
6. *(Only if you grant vesting/profits interests later — file the protective **83(b)** within 30 days of that grant. Not triggered by a sole member owning units outright.)*

Days 15–45 — be operational & bankable 7. Open the **Mercury** (or Brex) business account. 8. Foreign-qualify in your home state. 9. Engage a **startup CPA** and (for the regulated questions) a **fintech/securities attorney** — even a few scoped hours now prevents expensive mistakes.

Days 46–90 — compliance & launch posture 11. Draft **ToS / Privacy / E-Sign / risk disclosures**; publish before onboarding users. 12. Write the **AML/KYC policy**; name yourself compliance officer; wire in **OFAC screening**. 13. Lock the **Phase-A product scope** to non-custodial / no-customer-funds; document *why* each feature stays in scope (this doc + counsel sign-off is your defense). 14. File the **trademark**; finalize the market-facing brand that avoids the "bank" trap. 15. Decide the **Phase-B trigger** in writing (what user need forces partners + MSB registration) so you advance deliberately, not by accident.

Appendix — rough first-year cost envelope (bootstrap)

Line	Estimate
Wyoming LLC formation (DIY-assisted)	\$100–500
Registered agent	\$50–125/yr
Wyoming annual report / license tax	~\$60–100/yr
Home-state foreign qualification	\$100–400
Operating agreement (template + review)	\$0–1.5k
Legal (scoped: formation review, IP, AML policy, securities Q&A)	\$3–10k
Startup CPA (setup + first year)	\$1–3k
ToS/Privacy (templated + reviewed)	\$0.5–3k
Total realistic Year-1	~\$5–18k (LLC keeps the floor lower than a C-corp)

Compare that to Phase-C licensing (\$50–150k+ for MTLs alone) and the logic of the lean ramp is obvious: **spend thousands to launch, defer the hundreds-of-thousands until revenue earns it.**

Next document: the Production Deployment & Technology Strategy — cloud, the agent/MCP/skills automation fabric, the Neo4j Identity Vault, the fraud system on your orchestration engine, Constellation digital evidence, iOS-vs-Android, and GTM.